

Monthly Operations Review – Branch Performance

Data Analyst Take-Home Assessment

Ragul Velmurugan

1. Analysis Approach

I started by calculating Net Profit and Profit Margin for each branch because sales alone do not show how efficiently a branch is performing. Net Profit helped identify how much each branch retained after operating costs, while Profit Margin made it easier to compare profitability across branches of different sales levels.

I then used Tableau to visually compare the results because a dashboard makes differences in branch performance easier to identify than reviewing the raw numbers alone.

Next, I analyzed the customer feedback and ranked each branch based on customer experience. I included this because financial performance alone does not provide the complete picture a branch can perform well financially while still having operational or customer-service issues. financially while still having operational or customer-service issues.

Finally, I combined the financial and customer experience findings to determine which branch deserved a performance bonus and which required process improvement. I also modelled a 15% operating-cost reduction for Branch C to understand how improved cost efficiency could affect its profitability.

2. Profitability Analysis

I calculated:

Net Profit = Total Sales – Operating Cost

Profit Margin % = (Net Profit ÷ Total Sales) × 100

Branch	Total Sales	Operating Cost	Net Profit	Profit Margin
A	\$45,000	\$32,000	\$13,000	28.9%
B	\$38,500	\$21,000	\$17,500	45.5%
C	\$52,000	\$48,000	\$4,000	7.7%

Key Finding: Branch B is the strongest financial performer. Although it has the lowest sales of the three branches, it generates the highest Net Profit (\$17,500) and highest Profit Margin (45.5%). Branch C has the highest sales but significantly higher operating costs, resulting in the lowest profitability.

3. Customer Experience Analysis

I ranked the branches based on the customer feedback provided:

1st Branch B: “Always has stock, friendly staff.”

The feedback is entirely positive, highlighting both product availability and customer service.

2nd Branch A: “Great service, but long queues.”

Customers appreciate the service, but long wait times indicate an operational issue.

3rd Branch C: “Expensive shipping, slow delivery.”

Both comments identify negative customer experience issues related to cost and delivery efficiency.

4. Management Recommendation

Performance Bonus – Branch B

I recommend Branch B for the Performance Bonus. It generates the highest Net Profit at \$17,500, has the strongest Profit Margin at 45.5%, and ranks first in customer experience. This indicates that Branch B is performing efficiently while also maintaining a positive customer experience.

Process Improvement – Branch C

I recommend prioritizing Branch C for Process Improvement. Although it generates the highest sales at \$52,000, its Operating Cost of \$48,000 leaves only \$4,000 in Net Profit, resulting in a Profit Margin of just 7.7%.

Customer feedback also identifies expensive shipping and slow delivery, suggesting that improving vendor costs, shipping processes, and delivery efficiency could benefit both profitability and customer satisfaction.

5. Bonus Challenge – Branch C Cost Reduction

If Branch C reduces its Operating Costs by 15%:

Step 1 – Calculate the cost reduction

$$\$48,000 \times 15\% = \$7,200$$

Step 2 – Calculate the new Operating Cost

$$\$48,000 - \$7,200 = \$40,800$$

Step 3 – Calculate the new Net Profit

$$\$52,000 - \$40,800 = \$11,200$$

Step 4 – Calculate the new Profit Margin

$$(\$11,200 \div \$52,000) \times 100 = 21.5\%$$

Result

New Net Profit: \$11,200

New Profit Margin: 21.5%

Reducing operating costs by 15% would increase Branch C's Net Profit from \$4,000 to \$11,200 and improve its Profit Margin from 7.7% to 21.5%. This shows that cost control could substantially improve Branch C's financial performance.

6. Tableau Dashboard

I created an interactive Tableau dashboard to present the key financial metrics, branch profitability, profit margins, customer experience ranking, management recommendation, and Branch C cost-reduction scenario in one view.

View my Monthly Branch Performance Review on Tableau Public:

<https://public.tableau.com/app/profile/ragul.velmurugan/viz/MonthlyBranchPerformanceReview/MonthlyBranchPerformanceReview?publish=yes>